Break-Even

CVP Income Statement

	2024 (Sept-Dec)		2025		2026	
	Total	**Per Unit**	**Total**	**Per unit**	**Total**	**per unit**
Sales	**$3,759,200.00**	**$400.00**	**$11,277,600.00**	**$400.00**	**$18,796,000.00**	**$400.00**
Less: Variable Cost						
Direct Material	$146,851.20	$15.63	$437,654.40	$15.52	$734,841.60	$15.64
Direct Labour	$550,692.00	$58.60	$1,549,476.00	$54.96	$2,533,660.00	$53.92
Indirect Material	$56,043.68	$5.96	$189,380.40	$6.72	$312,114.00	$6.64
Indirect Labour	$42,457.33	$4.52	$143,470.00	$5.09	$236,450.00	$5.03
Utilities	$25,474.40	$2.71	$86,082.00	$3.05	$141,870.00	$3.02
Maintenance	$59,440.27	$6.32	$200,858.00	$7.12	$331,030.00	$7.04
Total Variable Cost	$880,958.88	$93.74	$2,606,920.80	$92.46	$4,289,965.60	$91.30
Contribution Margin	**$2,878,241.12**	**$306.26**	**$8,670,679.20**	**$307.54**	**$14,506,034.40**	**$308.70**
Less: Fixed Cost						
Plant Manager	$26,667.00		$81,600.00		$83,200.00	
Depreciation	$1,666.67		$6,000.00		$6,000.00	
Insurance	$5,000.00		$14,200.00		$13,400.00	
Total Fixed Cost	$33,333.67		$101,800.00		$102,600.00	
Operating Income	**$2,844,907.45**		**$8,568,879.20**		**$14,403,434.40**	

Break Even Point

	Formula	2024	2025	2026
Unit Sold		9,398	28,194	46,990
Unit Selling Price		$400.00	$400.00	$400.00
Total Variable Costs		$880,958.88	$2,606,920.80	$4,289,965.60
Total Fixed Cost		$33,333.67	$101,800.00	$102,600.00
Contribution Margin per unit	Sales per unit - VC Per unit	$306.26	$307.54	$308.70
Contribution Margin Ratio	CM/Sales	76.57%	76.88%	77.18%

Break Even Point in Unit	FC/CM	109	331	332
Break Even Point In Dollars	FC/CMR	$43,536.28	$132,407.12	$132,942.58

Year	Break Even Points in Unit	Break Even Point in the year	Rationale
2024	109	October	Units Sold till September end = 100
			Units Sold till October end = 750
2025	331	First Quarter	Units Sold in 1st Quarter = 8,000
2026	332	First Quarter	Units Sold in 1st Quarter = 15,850

Assumptions

1	Annual CVP Income Statement, the company is expected to launch in September 2024.
2	Sales values are obtained from the sales forecast.
3	Direct Material and Direct Labour values are obtained from the Cost of Goods Manufactured Schedule.
4	Indirect Material, Utilities, Maintenance, Plant Manager, Depreciation, and Insurance values are obtained from the MOH Budget.
5	Contribution margin = Sales - Variable Cost. The calculation is the same for all three years.
6	Contribution Margin Per Unit = Units selling Price - Unit Variable cost. The calculation is the same for all three years.
7	Contribution Margin Ratio = Contribution Margin / Selling Price. The calculation is the same for all three years.
8	Operating Income = Contribution Margin - Fixed Cost. The calculation remains constant for all three years.
9	Break Even Points in Dollars = Fixed Cost / Contribution Margin. The calculation is the same for all three years.
10	Break Even Points in Units = Fixed Cost / Contribution Margin. The calculation is the same for all three years. Decimals are rounded up.
12	Break Even Points matches the revenue with the expenses and it is a point where Profits cover Losses. 2024: The breakeven point is achieved in October at 109 units. 2025: The breakeven point is 331 units achieved within the first quarter. 2026: The breakeven point is 332 units, achieved within the first quarter.